

Subd. 2. Tax imposed. Imposes a tax on the asset growth of an applicable institution, at the rates specified in section 3.

Subd. 3. Rates of tax. Imposes the tax at the following rates:

- 15% for per-student assets over \$74,999 but not over \$150,000;
- 20% for per-student assets over \$150,000 but not over \$250,000; and
- 25% for per-student assets over \$250,000.

Subd. 4. Other provisions apply. Provides that for purposes of calculating the number of students at an applicable educational institution, the number of students is based on the daily average number of full-time students attending, with part-time students taken into account on a full-time student equivalent basis. Also provides that assets of related organizations of educational institutions are treated as assets of the educational institution and that unless the related organization is controlled by the educational institution or by certain other charitable organizations, assets not intended or available for use or benefit of the educational institution are excluded from the calculation of assets.

Subd. 5. Administration. Requires that specified provisions of the tax administration chapters apply to the tax imposed under the bill.

Subd. 6. Returns; payment of tax. Requires applicable educational institutions to file returns and remit the tax in the form and manner prescribed by the commissioner. Requires that interest on overpayments refunded or credited to the taxpayer is calculated from the date of payment of the tax until the refund is paid or credited.

Subd. 7. Deposit of revenues; account established. Requires the commissioner to deposit tax revenues in the higher education assets growth account.

Effective for taxable years beginning after December 31, 2025.



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